

Platform vs. Pipe

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Orchestrate value vs. produce it

PROFESSIONAL DEFINITION

The Platform-vs-Pipe distinction contrasts platforms that orchestrate value created by others with pipes that produce and sell value linearly, explaining why platforms often scale and defend better.

WHO DEVELOPED IT

Articulated by Sangeet Paul Choudary and colleagues in Platform Revolution (2016).

WHY IT WAS DEVELOPED

It was developed to explain the rise of platform businesses and why they outcompete traditional linear 'pipe' firms.

FIGURE 1 · PLATFORM VS. PIPE



Figure 1. A schematic of the Platform vs. Pipe as applied in BARBM312 (illustrative).

HOW IT IS USED

A business model is classified as platform or pipe; platform strategy focuses on orchestrating and governing an ecosystem.

WHEN IT IS USED

When choosing and assessing AI-venture business models.

BY WHOM IT IS USED

Founders, strategists and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It crystallised why platforms beat pipes, reframing strategy around orchestration rather than linear production.

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Category Design Map · Slibrary 27

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SOURCES (HARVARD REFERENCING STYLE)

Parker, G., Van Alstyne, M. and Choudary, S.P. (2016) Platform Revolution. New York: Norton.

Van Alstyne, M., Parker, G. and Choudary, S.P. (2016) 'Pipelines, platforms, and the new rules of strategy', Harvard Business Review, 94(4).